date of making the advance. The RBI interpreted this 'as requiring liquidation of the ways and means position within a period of three months.'[10] The immediate provocation was the fact that the three month limit in respect of the Burma government's ways and means outstanding was due to expire on September 30, 1942, and as there was not enough time the India Office wanted the advances to be renewed. When the RBI refused to do so, the India Office argued that the relevant section (17(5)) prohibited the making of an advance repayable at a date more than three months ahead, and did not debar the bank from making subsequent advances from the proceeds of which the borrowing authority could discharge the earlier advance.

The bank did not agree and Deshmukh in a letter to the Finance Department argued that the accommodation was in the nature of an overdraft which was to be cleared in three months and a contrary interpretation would render the provision entirely futile. He said that the bank's view was supported by the history of the clause and the observation of the Report of the Joint Committee on the Reserve Bank Bill. The Finance Department consulted the Legislative Department which took the view that that from a strictly legal point of view the India Office was correct. But the bank was in no mood to relent. Taylor held that the matter was entirely within the discretion of the bank and that they had taken the views of the Joint Select Committee as a clear directive as to the policy they should follow. 'There can, however, be no doubt as to the policy…as we consider that one of the essential duties laid upon us by the Legislature is to ensure that when Government is in debt, that debt unless of a purely temporary nature, is put upon the market to be assessed by it.'[11]

BULLION POLICY DURING THE WAR

Gold Policy

Gold and silver have always held an important place in the Indian economy and constitute important sources of savings and sensitive indicators of political and economic trends. During the war years given the requirements of the British government for US dollars and other hard currencies, it was difficult to arrange for any large scale imports of these metals. In fact in the early stage of the war there were exports of these metals from India. A